

The Wall Street Oxymorons

To the list of famous oxymorons—military intelligence, learned professor, deafening silence, and jumbo shrimp—I'd add professional investing. It's important for amateurs to view the profession with a properly skeptical eye. At least you'll realize whom you're up against. Since 70 percent of the shares in major companies are controlled by institutions, it's increasingly likely that you're competing against oxymorons whenever you buy or sell shares. This is a lucky break for you. Given the numerous cultural, legal, and social barriers that restrain professional investors (many of which we've nailed up ourselves), it's amazing that we've done as well as we have, as a group.

Of course, not all professionals are oxymoronic. There are great fund managers, innovative fund managers, and maverick fund managers who invest as they please. John Templeton is one of the best. He is a pioneer in the global market, one of the first to make money all around the world. His shareholders avoided the 1972–74 collapse in the U.S. because he had cleverly placed most of his fund's assets in Canadian and Japanese stocks. Not only that, he was one of the first to take advantage of the fact that the Japanese Dow Jones (the Nikkei average) is up seventeenfold from 1966 to 1988, while the U.S. Dow Jones has only doubled.

Max Heine (now deceased) at Mutual Shares fund was another ingenious freethinker. His protégé, Michael Price, who took over after Heine's death, has continued the tradition of buying asset-rich companies at fifty cents on the dollar and then waiting for the marketplace to pay the full amount. He's done a brilliant job. John Neff is a champion investor in out-of-favor stocks, for which he's constantly sticking his neck out. Ken Heebner at Loomis-Sayles sticks his neck out, too, and the results have been remarkable.

Peter deRoethth is another friend who has done extremely well with small stocks. DeRoethth is a Harvard Law School graduate who developed an incurable passion for equities. He's the one who gave me Toys "R" Us. The secret of his success is that he never went to business school—imagine all the lessons he never had to unlearn.

George Soros and Jimmy Rogers made their millions by taking esoteric positions I couldn't begin to explain—shorting gold, buying puts, hedging Australian bonds. And Warren Buffett, the greatest investor of them all, looks for